Figure 34.2 Two flags in different price trends help gauge the move from A to B.

Identification Guidelines

Figure 34.2 shows two flags, the first one in a downward price trend and the second after price turns at the bottom. For both flags, the quick price move starts at their respective point As and finishes at their respective point Bs.

In these two examples, the move after the flag is longer than the one before the flag, but that is usually not the case. The move after the flag completes is a key trait of this pattern. By using the length of the trend leading to the flag, you can gauge how far price will move after the breakout.

Table 34.1 outlines the identification characteristics for flags.

Appearance. Two parallel trendlines bound the price action for flags as shown in **Figure 34.3**. However, the flagpole is an important part of the pattern. If you don't have a flagpole, then I consider the flag invalid. You may decide otherwise. You may enjoy shooting yourself in the foot, too.